MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION APRIL 2026

SECOND SEMESTER

Core Course (CC) - MG2CCRBBA101 - MARKETING MANAGEMENT

(2024 ADMISSION ONWARDS)

Duration: 2 Hours Maximum Marks: 70

Remember (K), Understand (U), Apply (A), Analyse (An), Evaluate (E), Create (C), Skill (S), Interest (I) and Appreciation (Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

PART A

Short Answer Questions (four to five sentences)

A choice between two options for each question, answer 5 short answer questions, one from each

Question 1a: Explain Selling Concept with an Example. [K] / [CO1]

Award 2 marks for a clear explanation of the selling concept and 1 mark for a relevant example. Accept any valid example.

Answer:

The selling concept holds the view that sales volume cannot be increased by introducing a superior quality product. Organisations must undertake aggressive selling, advertisement and promotional efforts to push their products onto buyers. The focus is on increasing sales volume rather than building long-term customer relationships.

Example: An insurance company that deploys a large sales team to aggressively call customers and convince them to purchase policies even when they showed no prior interest.

Question 1b: What are the Factors Affecting Macro Environment? [K] / [CO1]

Award full marks for naming at least 4 factors with a brief one-line description each. Award 2 marks if only factors are listed without explanation.

Answer:

The macro environment refers to the broad external forces that affect all businesses and are largely beyond the control of individual firms. The key factors are:

- Demographic Environment: age, gender, education levels etc affect market demand.
- Economic Environment: Income levels, savings, expenditure and consumption patterns, inflation, unemployment, and economic growth affect consumers' purchasing power
- Technological Environment: New technologies and innovations create new markets and destroy old ones.
- Political Environment: Government policies, regulations, and legal frameworks shape business operations.
- Socio Cultural Environment: Values, beliefs, traditions, and lifestyles influence consumer behaviour.
- Natural/Ecological Environment: Climate change, natural resources, and environmental regulations affect operations.

Question 2a: What is Targeting? What is the Differentiated Targeting Strategy? [K] / [CO2]

1 mark for defining targeting, 2 marks for explaining differentiated targeting with an example.

Answer:

Targeting (also called target marketing) is the process of evaluating each market segment's attractiveness and selecting one or more segments to enter and serve. After segmenting the

market, a firm must decide which segment(s) to focus on based on resources, competition, and market potential.

Differentiated targeting strategy (also called segmented marketing) involves a firm targeting multiple market segments and designing separate offers for each. The company creates distinct products, prices, and promotions tailored to each segment's needs.

Example: Maruti Suzuki targets different segments with different products — the Alto for budget buyers, the Swift for young urban professionals, and the Ertiga for families.

Question 2b: What are the Key Elements of Traditional Marketing? [K] / [CO2]

Award full marks for correctly identifying and briefly explaining at least 4 elements. The 4Ps framework or a similar structured answer is ideal.

Answer:

Traditional marketing refers to conventional methods of promoting products and services through offline channels. Its key elements include:

- Product: The goods or services offered to meet customer needs, including features, quality, design, and branding.
- Price: The amount charged for the product, determined through cost analysis, competitor pricing, and perceived value.
- Place (Distribution): How the product is delivered to customers through channels such as retailers, wholesalers, or direct sales.
- Promotion: Communication efforts including advertising (TV, radio, newspapers), personal selling, sales promotions, and public relations.

Question 3a: What are Convenience Products? Give Two Examples. [K] / [CO3]

2 marks for a correct and clear explanation, 1 mark for two appropriate examples.

Answer:

Convenience products are consumer goods that customers purchase frequently, immediately, and with minimal comparison or shopping effort. These products are typically low-cost, widely available, and bought out of habit or routine. Consumers do not spend much time deliberating before purchasing them.

Examples:

- A packet of biscuits (e.g., Parle-G) purchased from a nearby kirana store.
- A bar of soap (e.g., Lifebuoy) bought during a routine grocery shopping trip.

Question 3b: What is Psychological Pricing? Give Different Types of Psychological Pricing. [U] / [CO3]

1 mark for defining psychological pricing, 2 marks for listing and briefly explaining at least 3 types.

Answer:

Psychological pricing is a pricing strategy that considers the psychological impact of prices on consumers rather than purely economic considerations. It uses the possibilities of human psychology to make prices appear more attractive to consumers

Types of Psychological Pricing:

- Charm Pricing: This strategy involves setting price that ends in 9 or 99 to make products feel cheaper. Consumers perceive ₹999 as significantly less than ₹1000.
- Odd Pricing: This is a pricing strategy of setting a price ending in odd numbers.
- Prestige Pricing: Deliberately setting high prices to signal quality and exclusivity. Example: A luxury watch priced at ₹50,000 is perceived as superior.
- BOGOF / Promotional Pricing: Buy One Get One Free to create a sense of extra value.

Question 4a: Identify Three Ethical Considerations Brands Must Follow in Digital Marketing. [K] / [CO4]

1 mark per ethical consideration, up to 3. A brief explanation for each is expected. Accept any three well-explained considerations.

Answer:

- Data Privacy and Consent: Brands must obtain clear consent before collecting personal data from users. They should be transparent about how data is used and stored, complying with data protection laws
- Truthful and Non-Deceptive Advertising: Digital ads must be honest and not mislead consumers with false claims, fabricated reviews, or exaggerated benefits. Influencer partnerships must be clearly disclosed as paid promotions. Example: A brand falsely claiming its product cures a disease violates ethical standards.
- Respecting consumer autonomy: Allow consumers to make informed decisions without under pressure or coercion

Additional acceptable considerations: Clear language, Fair and transparent pricing, Fair competition, social responsibility etc

Question 4b: Why is it Difficult to Standardise Services? Explain with an Example. [U] / [CO4]

2 marks for explaining why standardisation is difficult (must mention key characteristics like variability/heterogeneity) and 1 mark for a clear example.

Answer:

It is difficult to standardise services primarily because of their inherent variability (also called heterogeneity). Unlike physical products manufactured on an assembly line, services are performed by human beings. This means service quality can vary significantly depending on who delivers the service, when, where, and how it is delivered.

The inseparability of services (the fact that production and consumption happen simultaneously) means there is no opportunity to inspect and reject a service before it reaches the customer, unlike manufactured goods. Additionally, customer interactions, mood, and expectations vary each time, further making uniformity difficult to achieve.

Example: A haircut at a salon depends on the individual stylist's skill, attentiveness, and mood on that day. The same customer may receive an excellent haircut from the same barber on Monday but a less satisfactory one on Friday. No two service experiences are identical even in the same establishment.

Question 5a: Explain the Factors that Influence the Development of a New Product with Example. [U] / [CO3]

Award 1 mark per well-explained factor (up to 3). An example for each or for the answer overall is acceptable.

Answer:

The development of a new product is influenced by several internal and external factors:

- Customer needs / Market Demand: Products must address real customer needs or emerging market trends. Rising demand for plant-based food drove brands like Good Dot to develop vegan meat alternatives.
- Competition: To stay relevant, companies launch new products in response to competitors. When Apple launched Face ID, Samsung accelerated its own biometric feature development
- Technological Advancement: New technology enables innovation. The availability of 5G networks has pushed smartphone brands to develop 5G-compatible devices.
- Adjust with product life cycle:Product development is necessary to overcome and exploit the emerging challenges and opportunities in the different stages of life of a product.

(Any other relevant and valid answers can be considered)

Question 5b: How Does Promotion Help Businesses? Explain with Suitable Example. [U] / [CO3]

Award full marks for identifying at least 3 ways promotion helps, supported by a relevant example.

Answer:

Promotion is one of the key elements of the marketing mix. It refers to all the activities undertaken by a firm to communicate with its target audience, persuade them to purchase, and build brand awareness. Promotion helps businesses in the following ways:

- Creates Awareness: Promotion informs potential customers about new products or services. Example: Jio's massive advertising campaign when it launched in 2016 made millions of Indians aware of its free data offer.
- Stimulates Demand: Effective promotion convinces consumers to try a product and encourages repeat purchases. Example: McDonald's 'McSaver Combo' offers drive higher footfall and order values.
- Builds Brand Image and Loyalty: Consistent promotion establishes a brand's identity and builds trust. Example: Tata Tea's 'Jaago Re' campaigns positioned the brand as socially conscious, building emotional loyalty.
- Differentiates from Competitors: Promotion highlights unique selling points that set a brand apart. Example: Dove's 'Real Beauty' campaign differentiated it from other soap brands by focusing on self-esteem.
- Supports the Sales Force: Advertising and promotions generate leads and reduce the burden on the salespeople.

(Any other relevant and valid answers can be considered) **(5x3 =15 Marks)**

PART - B

Short Essay

A choice between two options for each question, answer 3 short essay questions, one from each

Question 6a: What is the B2B Market, and How Does it Differ from B2C? [U] / [CO1]

2 marks for explaining B2B clearly, 3 marks for correctly explaining at least 4 meaningful differences.

Answer:

B2B (Business-to-Business) marketing refers to the marketing of products or services by one business to another business, rather than to individual consumers. The buyers in B2B markets are organisations — manufacturers, retailers, government bodies, or service providers — who purchase goods for use in their own operations, resale, or production of other goods.

Key Differences between B2B and B2C Markets:

Aspect	B2B Marketing	B2C Marketing
Target Audience	Other businesses / organisations	Individual consumers
Buying Process	Rational, formal, complex with multiple approvals	Emotional, impulse-driven, quick decisions
Number of Buyers	Fewer buyers but higher purchase volumes	Large number of buyers, smaller quantities
Marketing Approach	Personalised relationship-building, trade shows	Mass advertising, branding, emotional appeals
Price Sensitivity	High — buyers are professionals who compare costs	Varies — consumers are influenced by brand, emotion
Example	Tata Steel supplying steel to automobile manufacturers	Maruti Suzuki selling cars to individual buyers

(Any other relevant and valid answers can be considered)

Question 6b: Explain the Importance of Marketing. Why is Marketing Important for the Growth and Development of a Business? [U] /[CO1]

Award marks for each clearly explained point. Full marks for 5 well-developed points with examples. Award 3–4 marks for fewer but strong points.

Answer:

Marketing is not merely about selling products, it is the entire process of identifying, creating, communicating, and delivering value to customers. Its importance for business growth and development is immense:

- Helps to identify the target market
- Develop suitable products and services
- Determine the demand for the product
- Give adequate information to the customers about the products
- Delivers the products to the customers by establishing suitable distribution channels
- Identifies the competitors and analyze the competitive advantage of the firm

(Any other relevant and valid answers can be considered)

Question 7a: What is STP? What are the Demographic Bases of Segmentation? [K] / [CO2]

2 marks for explaining STP clearly, 3 marks for listing and explaining at least 5 demographic variables with examples.

Answer:

STP stands for Segmentation, Targeting, and Positioning — the three-step strategic process that helps businesses identify the right customers and deliver the right marketing message.

- Segmentation: Dividing a broad market into smaller, homogeneous groups of consumers who share similar needs, characteristics, or behaviours.
- Targeting: Evaluating each segment's attractiveness and selecting one or more segments to serve.
- Positioning: Creating a distinct image or identity for the product in the minds of the target segment relative to competitors.

Example: Himalaya Drug Company segments the market (men, women, babies), targets young working women for its Himalaya face wash, and positions it as a herbal, chemical-free skincare solution.

Demographic Bases of Segmentation:

Demographic segmentation divides the market based on measurable population characteristics:

Variable	Description	Example
Age	Different age groups have different needs and preferences	Johnson's Baby products (infants), Horlicks (children), Centrum (adults)
Gender	Products designed for male or female users	Gillette (men's grooming), Dove (women's skincare)
Income	Purchasing power determines product choice	Maruti Alto (low income), BMW (high income)
Education	Level of education affects media consumption and product complexity	Academic publishers vs. comics
Occupation	Career influences lifestyle and product needs	Business suits for executives, workwear for labourers
Family Size / Life Stage	Single, married, with/without children affect buying patterns	Club Mahindra family vacation packages
Religion / Ethnicity	Cultural identity shapes food, clothing, and festival purchases	Halal food brands, regional festive wear

Question 7b: What are the Steps in the Consumer Buying Decision Process? [U] / [CO2]

1 mark per step (5 steps = 5 marks). Award full marks only if each step is explained, not just named.

Answer:

The Consumer Buying Decision Process is a five-stage model that describes the journey a consumer undergoes from recognising a need to evaluating the purchase after it is made:

- Problem / Need Recognition: The process begins when a consumer identifies a gap between their current state and a desired state. Example: A student realises their laptop is too slow for online classes.
- Information Search: Once a need is recognised, the consumer actively or passively seeks information. Sources include personal (friends, family), commercial (ads, websites), public (social media reviews), and experiential. Example: The student searches for laptops on Amazon, reads reviews on YouTube, and consults friends.
- Evaluation of Alternatives: The consumer compares different options based on evaluative criteria such as price, quality, brand reputation, and features. Example: The student compares Dell, HP, and Lenovo laptops on performance, battery life, and cost.
- Purchase Decision: After evaluation, the consumer decides which product to buy. Example: The student buys the Lenovo IdeaPad
- Post-Purchase Behaviour: After purchasing, the consumer evaluates whether the product met expectations. Satisfaction leads to repeat purchase and positive word-of-mouth; dissatisfaction leads to returns or negative reviews. Marketers must manage cognitive dissonance. Example: The student recommends the laptop to classmates because it performs well.

Question 8a: Define Advertising. What are the Advantages and Limitations of Print Advertising? [K] / [CO3] [5 Marks]

1 mark for definition of advertising, 2 marks for advantages (at least 3), 2 marks for limitations (at least 3).

Answer:

Advertising is any paid, non-personal form of communication about an organisation, product, service, or idea by an identified sponsor, delivered through various media channels to inform, persuade target audience.

Print advertising includes newspapers, magazines, brochures, flyers, catalogues, and billboards.

Advantages of Print Advertising:

- Wide Reach and Mass Coverage: Newspapers like The Times of India reach millions of readers across cities and towns daily, enabling broad market reach.
- Credibility and Trust: Print media, especially established newspapers and magazines enjoy high reader trust. Consumers perceive print advertisements as more reliable than digital pop-ups.
- Targeted Audience: Magazines allow demographic targeting. A fitness brand advertising in 'Health & Nutrition' magazine reaches health-conscious readers directly.
- Long Exposure Life: Magazine ads remain in homes for weeks or months, allowing repeated exposure unlike a TV ad that lasts seconds.
- Detailed Information: Print allows more detailed product descriptions, especially in brochures and catalogues (e.g., a real estate brochure).

Limitations of Print Advertising:

- Limited Reach Among Youth and Digital-First Audiences: Younger consumers increasingly consume news and content digitally, reducing the effectiveness of print ads for this segment.
- Short Shelf Life for Newspapers: Daily newspapers are often discarded after reading, giving ads only one chance at exposure.

- No Interactivity: Unlike digital ads, print cannot include clickable links, videos, or real-time interaction.
- High Production Costs: Quality magazine or newspaper ads involve significant design, printing, and placement costs.
- Declining Readership: Print media circulation has been steadily declining with the rise of digital news platforms.

(Any other relevant and valid answers can be considered)

Question 8b: A Company Uses Brokers to Connect with Large Retailers. What Type of Intermediary is Being Used? How Does This Affect Marketing Efforts? [A] / [CO4] [5 Marks]

2 marks for correctly identifying the intermediary type (broker) and explaining what brokers do, 3 marks for explaining the impact on marketing efforts. Apply-level question: award more marks for analysis.

Answer:

Type of Intermediary — Broker:

The company is using a broker as the intermediary. Brokers are agents who bring buyers (large retailers) and sellers (the organic beauty company) together and facilitate transactions, but do not take title or ownership of the goods. They earn a commission or fee for their services. Unlike distributors or wholesalers, brokers do not stock or handle the products themselves. They specialise in building connections between manufacturers and retailers, especially in industries where the manufacturer lacks the network or resources to reach major buyers directly.

Effect on the Company's Marketing Efforts:

- Extended Market Reach Without Overhead: The broker's established relationships with large retailers allow the company to access major retail chains (e.g., Big Bazaar, Reliance Smart) without hiring and managing its own large sales force, significantly reducing costs.
- Faster Retail Penetration: Brokers can quickly introduce the brand to multiple large retailers simultaneously, accelerating distribution and market penetration.
- Limited Customer Feedback Loop: Since the broker is an intermediary, direct customer insights may not reach the company efficiently, making it harder to adapt products or promotions.
- Dependent on Broker Performance: The company's sales success becomes linked to the broker's motivation and capability. If the broker prioritises other brands, the organic beauty company's products may lose visibility.

(Any other relevant and valid answers can be considered) (3x5= 15 marks)

PART C

Long Essay

A choice between two options for each question, answer 2 long essay questions, one from each

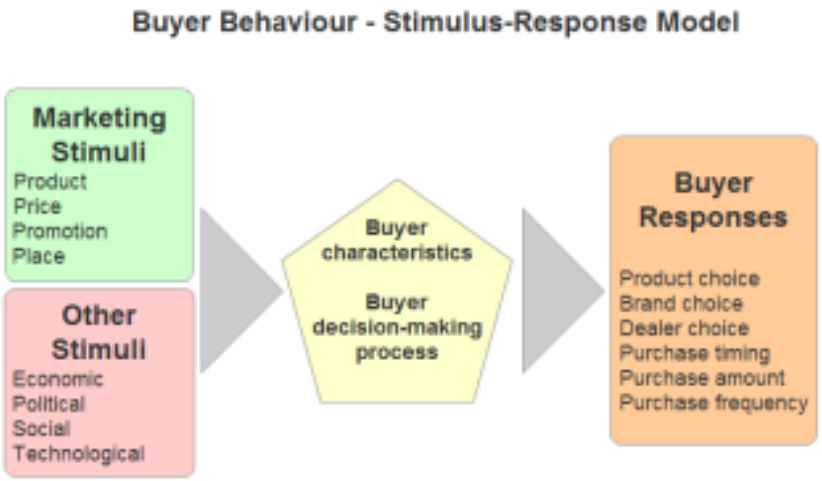
Question 9a: Explain the Components of the Stimulus-Response Model. Explain Using a Suitable Example. [U] / [CO2]

15 marks for fully explaining all components of the Stimulus-Response Model. 5 marks for a clear, well-elaborated example.

Answer:

The Stimulus-Response Model in marketing explains how external marketing stimuli and other factors influence a consumer’s buying behaviour. It includes the following components:

Components of the Stimulus-Response Model



Stimuli (Input)

These are external factors influencing the consumer's decision-making process.

• **Marketing Stimuli:** The 4Ps (Product, Price, Place, Promotion).

• **Environmental Stimuli**:

- Economic conditions.
- Technological changes.
- Political and cultural influences.

• Example: A smartphone ad with a discount offer grabs the consumer's attention.

2**. Consumer's Black Box (Processing)**

The "black box" represents the internal thought processes of the consumer, which are hard to observe directly.

• **Buyer Characteristics**:

- Psychological factors (motivation, perception, learning, beliefs).
- Personal factors (age, income, lifestyle).

• **Decision-Making Process:**

- Problem Recognition: Realizing a need.
- Information Search: Gathering details about solutions.
- Alternative Evaluation: Comparing options.
- Purchase Decision: Choosing and buying.
- Post-Purchase Behaviour: Evaluating satisfaction and loyalty.

• Example: A consumer evaluates the features of two smartphones before buying one.

3. Response (Output)

This is the result of the decision-making process and shows how the consumer responds to the stimuli.

• Key Responses:

- Product choice.
- Brand choice.
- Purchase timing.
- Purchase frequency.

• Example: The consumer purchases a smartphone after seeing an ad and evaluating alternatives.

Example of the Stimulus-Response Model in Action

• Stimuli: A 20% discount on a popular smartphone is advertised through social media.

• Black Box: The consumer evaluates whether the smartphone satisfies their need for better photography and affordability.

• Response: The consumer buys the smartphone, feeling confident it meets their requirements.

This model emphasizes the importance of understanding what influences consumers to act and helps marketers design strategies to stimulate desired responses.

Example:

A customer watches a festive sale advertisement for a traditional outfit on Myntra (promotion – marketing stimulus) during the Onam season (cultural stimulus). They think about their need for new attire for celebrations (black box), compare styles and prices with other brands, and decide to order the outfit online (buyer response).

(Any other relevant and valid examples can be considered)

Question 9b: How Does the Behaviour of a Rural Indian Consumer Differ from a Typical Urban Indian Consumer? What Other Factors Affect Consumer Buyer Behaviour? Give Examples. [U] / [CO2]

10 marks for rural vs urban comparison (at least 6 clear differences with examples), 10 marks for other factors affecting consumer behaviour (at least 5 factors explained with examples).

Answer:

Rural vs. Urban Indian Consumer Behaviour [10 Marks]

India's consumer market is highly diverse, and the behavioural differences between rural and urban consumers are significant and strategically important for marketers.

Dimension	Rural Indian Consumer	Urban Indian Consumer
Income & Purchasing Power	Generally lower income; budget-conscious; emphasis on value for money. Example: Preference for sachet-sized products (₹5 shampoo sachets by Clinic Plus).	Higher disposable income; willing to pay for premium quality and convenience.
Brand Awareness	Less exposed to advertising; relies on word-of-mouth, local shopkeeper recommendations, and community opinion.	High brand awareness through digital media, TV ads, and peer influence.
Product Preferences	Prefers basic, functional, durable products. Example: Preference for sturdy bicycles over motorcycles in some regions.	Prefers trendy, aspirational, and technologically advanced products.
Decision-Making Influences	Family elders, village leaders, and peer groups strongly influence decisions. Community opinion is decisive.	Peer networks, social media influencers, and individual preference drive decisions.

Dimension	Rural Indian Consumer	Urban Indian Consumer
Distribution Channel Preference	Relies on local kirana stores, haats (weekly markets), and melas (fairs). Limited access to modern retail.	Shops at malls, supermarkets, and online platforms (Flipkart, Amazon, Blinkit).
Price Sensitivity	Extremely price-sensitive. Small price increases can shift loyalty. Example: Will switch from branded salt to unbranded if cheaper.	Less price-sensitive for preferred brands; willing to pay for convenience.
Media & Advertising Exposure	Radio, outdoor hoardings, local events, wall paintings. Limited internet access historically (though increasing with Jio).	Social media, OTT platforms, YouTube, and digital ads are primary touchpoints.

Other Factors Affecting Consumer Buyer Behaviour [10 Marks]

Beyond geography, consumer buyer behaviour is shaped by a complex set of internal and external factors:

- Cultural Factors: Culture is the most fundamental determinant of behaviour. Sub-cultures (religion, region, community) shape food preferences, clothing choices, and purchasing occasions.
- Social Factors: Reference groups (family, friends, colleagues), social class, and roles influence buying. Example: A teenager buys Nike sneakers because their school friends wear them
- Psychological Factors:
  - Motivation
  - Perception
  - Learning
  - Beliefs & Attitudes
- Personal Factors: Age, occupation, lifestyle, personality, and economic situation directly affect choices.
- Economic Factors: Consumer confidence, inflation, and income fluctuations affect spending.

Question 10a: A Fast-Growing Food Delivery Startup is Experiencing Increasing Demand but Also Facing Rising Competition, Operational Challenges, and Need for Continuous Innovation. Identify the PLC Stage, Discuss Major Challenges, and Suggest Strategies. [A] / [CO3] [20 Marks]

5 marks for correctly identifying the PLC stage with justification, 7 marks for discussing major challenges, 8 marks for strategies.

Answer:

Identifying the Product Life Cycle (PLC) Stage [5 Marks]

The food delivery startup is in the GROWTH STAGE of the Product Life Cycle.

Justification:

- Increasing demand indicates that the market is rapidly accepting the product
- Rising competition i— as a concept proves successful, competitors enter the market. (In the Introduction stage, competition is low; it intensifies during Growth.)
- The need for continuous innovation and operational scaling reflects the pressure companies face in Growth as they must improve efficiency to handle demand.
- The combination of high growth in sales alongside rising costs (operational challenges) is consistent with Growth stage dynamics where profits begin to rise but cost management becomes critical.

Characteristics of the Growth Stage:

  - Sales rise rapidly

- Profits increase as economies of scale improve
- New competitors enter the market
- Marketing focus shifts from awareness to differentiation and brand loyalty

Major Challenges the Company May Encounter [7 Marks]

- **Intensifying Competition:** Platforms like Zomato and Swiggy show how quickly new, well-funded competitors enter, causing price wars and the need for differentiation.
- **Operational Scalability:** Managing higher order volumes while ensuring fast delivery, quality, and efficient rider coordination is a major challenge.
- **Customer Retention vs. Acquisition:** Rising acquisition costs make it essential to retain existing customers while still attracting new ones.
- **Unit Economics and Profitability:** High delivery costs, discounts, and marketing expenses keep profit margins low despite revenue growth.
- **Technology and Innovation Pressure:** Continuous upgrades are needed to meet expectations like smooth apps, real-time tracking, and quick service.
- **Regulatory and Legal Challenges:** Compliance with Food Safety and Standards Authority of India standards, and GST increases complexity.
- **Brand Trust and Quality Control:** Ensuring consistent quality across partners is difficult, and negative reviews can qu

PART 3: Strategies to Sustain Growth and Competitive Advantage [8 Marks]

- **Differentiation:** Offer unique services like fast delivery, exclusive tie-ups, or plans like Swiggy One to build loyalty.
- **Technology & AI:** Use AI for pricing, demand prediction, and delivery optimisation to improve efficiency.
- **Customer Retention:** Provide loyalty benefits like free delivery and cashback to keep customers.
- **Expansion:** Grow into Tier 2 and Tier 3 cities where demand is high and competition is low with localised offerings.
- **Partnerships:** Partner with restaurants for exclusive menu options.
- **Operations:** Use cloud kitchens and optimise delivery for lower costs.
- **Profitability:** Reduce discounts and offer premium services to improve margins.
- **Brand Trust:** Maintain quality, manage reviews, and ensure good customer service.

(Any other relevant and valid answers can be considered)

Question 10b: What is Product Mix? Explain the Various Product Mix Decisions that a Firm Can Take with Suitable Indian Examples. [U] / [CO3] [20 Marks]

5 marks for defining product mix and explaining its dimensions, 15 marks for explaining product mix decisions (at least 5 decisions, 3 marks each with Indian examples).

Answer:

DEFINITION AND DIMENSIONS OF PRODUCT MIX [5 Marks]

A product mix (also called product assortment) refers to the complete set of all products and product lines that a company offers for sale to its customers. It represents the total portfolio of a firm.

The product mix has four key dimensions:

Dimension	Definition	Example (HUL)
Width	Number of different product lines the company carries	HUL has lines in soaps, detergents, beverages, food, and personal care
Length	Total number of products / items within all lines	HUL's total product count across all lines

Dimension	Definition	Example (HUL)
Depth	Number of variants (sizes, flavours, colours) within each product in a line	Surf Excel comes in powder, liquid, and bar forms; multiple pack sizes
Consistency	How closely related the different product lines are in end use, production, or distribution	HUL's lines are moderately consistent — all are FMCG consumer goods sold through similar channels

PRODUCT MIX DECISIONS [15 Marks]

A firm can make the following strategic decisions regarding its product mix:

- **Expansion of Product Mix**: This refers to increasing the number of product lines or adding more variety (depth) within an existing line.
  Example: Amul expanding from milk and butter into ice creams, chocolates, and flavoured yogurts.
- **Contraction of Product Mix**: This involves reducing the product mix by removing unprofitable product lines or simplifying the range of products.
  Example: Hindustan Unilever discontinuing certain slow-selling soap variants (Breeze)to focus on best-performing brands.
- **Alteration of Existing Products**: This means modifying or improving current products to enhance quality, features, or appeal.
  Example: Samsung upgrading its smartphones each year with better cameras and battery life.
- **Development of New Uses for Existing Products**: A firm promotes new ways to use an existing product to increase demand.
  Example: Baking Soda being marketed not just for cooking, but also for cleaning and deodorizing.
- **Trading Up and Trading Down**

  - **Trading Up**: Introducing premium, high-priced products to an existing lower-priced line.
    Example: Tata Motors launching luxury vehicles under Jaguar Land Rover alongside budget cars.
  - **Trading Down**: Introducing lower-priced products to a premium product line.
    Example: Apple offering relatively affordable models like the iPhone SE along with its premium iPhones.

- **Product Differentiation:** Creating a unique image or feature that distinguishes a product from competitors.
  Example: Colgate differentiating its toothpaste with variants like herbal, charcoal, and sensitivity protection**.** **(2x20= 40 Marks)**